

Statistics

[Table 14.2](#) shows general statistics.

Number found. I found 1,381 patterns in 642 stocks from July 1991 to July 2018. Not all stocks covered the entire time, and some no longer trade.

Reversal (R), continuation (C) occurrence. The pattern acts as a reversal most often, but the numbers are close in bull markets, but much farther apart in bear markets.

Reversal/continuation performance. Patterns acting as continuations outperform those acting as reversals.

Average rise. The average rise is a strong 55% in bull markets and 35% in bear markets, handily beating the average rise of 42% and 28%, respectively, of other chart pattern types.

Dual bump average rise. I checked to see if patterns with dual bumps worked better than their non-bump counterparts. In bull markets, patterns with dual bumps saw price climb 61% versus 54% for those with only one bump. In bear markets, dual bump patterns saw price climb an average of 43% versus 34% for the non-dual bump variety.

Standard & Poor's 500 change. The index did well, but it surprises me that it was positive in bear markets. Keep in mind that the measurement periods use dates of the BARR's breakout to ultimate high. Apparently the index averaged a small gain during those periods in bear markets.

Days to ultimate high. To reach a gain of 55% in bull markets, it took almost a year. If the rise in bear markets happened at the same speed, it would take the average BARR pattern 207 days to climb 35%. In reality, it took just 124 days. That's not quite twice as fast, but it's close. Even though price is moving higher in both markets, bear markets show higher velocity than bull markets. This finding isn't related to BARRs. I've seen it in other chart patterns, too.

How many change trend? Here's where the pattern really shines. I consider values above 50% to be terrific. This pattern sees more than half of the patterns see price climb more than 20% (which is what's meant by a trend change) after the breakout.